

Global FX Strategy

FX Compass: Waiting for kick-off

FX

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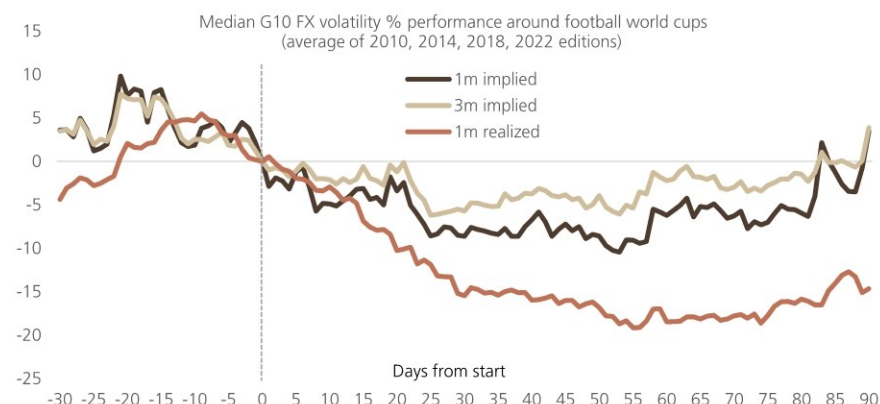
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Figure 1: Previous recent world cups have seen FX vol come under pressure



Source: Bloomberg, UBS

FX markets remain in thrall to the US-Iran negotiations. Most of last week's G10 FX gains vs the USD were reversed at the start of this week when Iran's threat to [break off talks](#) over Israeli operations in Lebanon sent oil prices sharply higher. This geopolitics-driven back and forth is by now well understood and has therefore failed to rekindle implied FX vols, which continue to grind lower. With the USD near the top of the G10 carry rankings, we have argued that this low-vol environment is likely to keep the greenback supported, especially with the intact tailwinds of the AI narrative and high real rates. We do not see clear reasons to change that view, particularly with the football world cup starting next week, an event that has historically coincided with lower realized FX vol ([Figure 1](#)). With this in mind, this week we focus on potential challenges to our views.

The first point of focus is today's speech by BoJ Governor Ueda, which marks the last scheduled BoJ communication before the 16 June rate decision. From an FX strategy standpoint, ambiguity about the BoJ's tightening plans is a key reason why we continue to view USDJPY as a buy-on-dips story. A forceful reaffirmation and even an extension of BoJ hiking intentions would be needed to break this yen-negative dynamic, in our view. In absence of that, a USDJPY test above 160 is likely, and if that triggers renewed FX intervention, a rapid return of dip buyers.

Regarding US-Iran negotiations, markets seem focused on the fact that President Trump's [rhetoric](#) and [actions](#) continue to support expectations of a market-friendly resolution. These expectations suggest the risk asymmetry now lies towards a break in negotiations, which is a scenario that would likely feature renewed USD strength. It is not our baseline scenario, but important to consider given depressed vol levels.

As for US data, markets are positioned for a May employment report that supports the current pricing for a modicum of Fed hikes. With the first FOMC meeting chaired by Chair Warsh two weeks out, we think a very large and clear data surprise in either direction is needed for this priced-in outlook to be meaningfully challenged.

This week we also look into the fundamental flow backdrop underpinning GBP's resilience, highlighting the strength of inbound M&A activity YTD.

Macro overview: Waiting for kick-off

FX markets remain in thrall to the US-Iran negotiations. Most of last week's G10 FX gains vs the USD, driven by expectations of a deal, were reversed at the start of this week when Iran's threat to [break off talks](#) over Israeli operations in Lebanon sent oil prices sharply higher. While this geopolitics-driven back and forth supports realized volatility, it is by now well understood by market participants and has therefore failed to rekindle implied FX vols, which continue to grind lower. With the USD near the top of the G10 carry rankings, we have argued that this low-vol environment is likely to keep the greenback supported against lower yielding G10 peers (EUR, JPY and CHF), especially with the intact tailwinds of the AI narrative and high real rates attracting inflows. We do not see clear reasons to change that view, particularly with the football world cup starting next week on 11 Jun, an event that has historically coincided with lower implied and realized FX volatility ([Figure 1](#)). With this in mind, this week we focus on upcoming event outcomes that could challenge our views and on potential near-term catalysts.

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Strategist

With USD near the top of G10 FX carry rankings, low vol conditions can be USD-positive

Risk #1: Ueda's speech

The first point of focus is today's speech by BoJ Governor Ueda. It marks the last scheduled BoJ communication before the 16 June rate decision, for which 19bp of hikes are currently implied; markets will be alert to any attempt to influence expectations ahead of the meeting (our economists expect a hike). Recent data and market developments point to simmering risks of a dovish lean: oil prices remain below \$100, both national and Tokyo CPI surprised lower in April and in May, with "core core" CPI printing 1.9% y/y and 1.6% y/y respectively from 2.4% and 1.9% in April, and the selloff at the long end of the JGB curve has eased sharply since mid-May. That undermines the case of those who argue the BoJ needs to reassert its anti-inflation credentials to keep the long end under control.

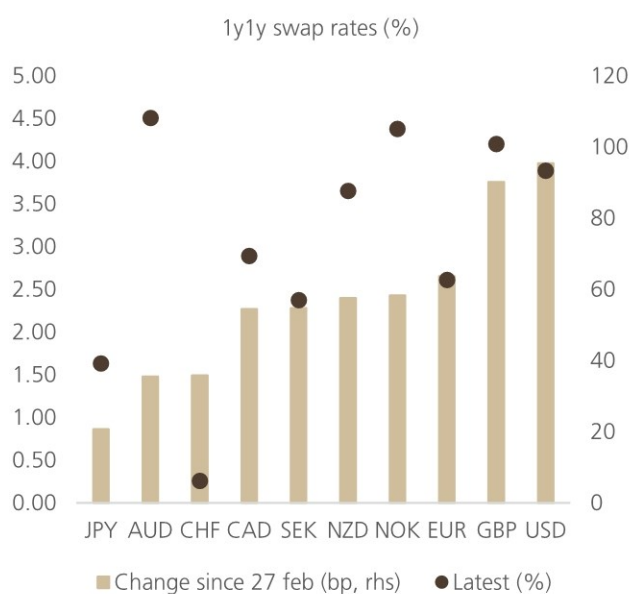
Ahead of Ueda's speech, the data-based case for the BoJ to hike rates has become less clear

Figure 2: Japan's underlying inflation keeps trending lower



Source: Macrobond, UBS

Figure 3: CB pricing changed the least for the BoJ in G10



Source: Bloomberg, UBS

Moreover, earlier concerns around the Takaichi administration's fiscal expansion plans were eased by a supplementary budget announcement with mostly benign details, including an upward revision to FY2025 tax revenues. [Our economists](#) note that these improvements should allow the government to extend gasoline subsidies beyond this year; as things stand, they expect subsidies to depress core CPI by ~0.5-0.6pp from August to October. While the BoJ has historically looked through such temporary effects, and our economists think inflation is likely to rebound from current levels, the deceleration in underlying inflation measures to well below 1.0% y/y ([Figure 2](#)) remains notable. It is also likely one reason why BoJ policy expectations have risen only modestly

A more benign fiscal easing outlook could also undermine the urge for BoJ tightening

since the start of the US-Iran conflict, in contrast with the more hawkish repricing seen elsewhere in G10 ([Figure 3](#)).

From an FX strategy standpoint, this stability in BoJ pricing and the resulting loss of rate support vs G10 peers is a key reason why we continue to view USDJPY as a buy-on-dips story and remain open to the pair breaking above 160, especially if energy prices resume their ascent. While 10-year JGB yields are trading slightly above inflation breakevens, the BoJ policy rate remains well below realized inflation and the BoJ's willingness to close that gap through rate hikes is still clouded by ambiguity. Any signals from Governor Ueda that extend this lack of clarity are therefore likely to reinforce the case for JPY weakness. In that scenario, we still think moves north of 160 could prompt renewed MoF FX intervention, but any resulting dips in USDJPY are likely to attract carry-focused buyers looking to take advantage of low-vol market conditions.

As long as the BoJ's tightening intentions are ambiguous, JPY weakness can extend further

A forceful reaffirmation and even an extension of BoJ hiking intentions would be needed to break this yen-negative dynamic, in our view. We do not rule it out, but front-end USDJPY risk reversal skews remain bid for puts well within this year's range. So, while the premium for USDJPY puts over calls is fading at the long end of the risk reversal skew curve, in the near-term JPY bulls seem much less outnumbered, implying that FX risks around this event are likely balanced and not excessively biased towards expecting a weaker JPY.

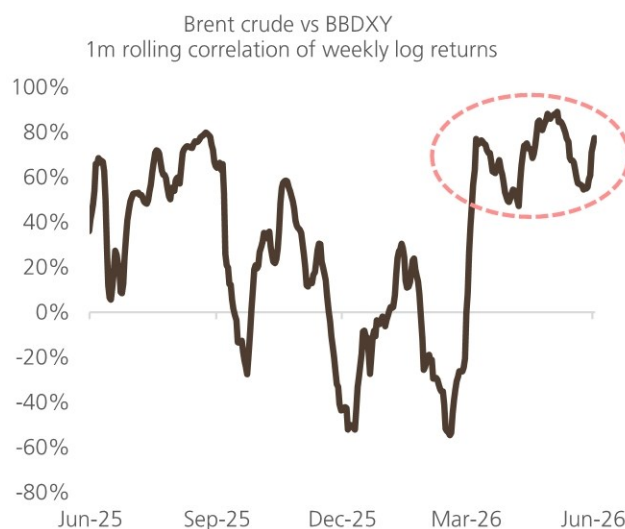
A forceful reaffirmation of priced-in hikes is needed to break yen-negative dynamics

Figure 4: USDJPY lower optionality still in demand in 1m



Source: Bloomberg, UBS

Figure 5: US-Iran conflict still dominates FX trading



Source: Bloomberg, UBS

Risk #2: US-Iran negotiations

Turning to the US-Iran negotiations, markets seem focused on the fact that President Trump's [rhetoric](#) and [actions](#) continue to support expectations of a market-friendly resolution. That is helping keep implied volatility subdued despite the still unresolved state of negotiations and occasional local military [skirmishes](#). Our longstanding view has been that a resolution announcement would initially weaken the USD in a knee-jerk move before the currency regains momentum on strong US fundamentals; the seesaw price action of recent days gives us confidence in that view. However, given how one-sided market expectations around a resolution are, the bigger risk asymmetry now is for a lasting breakdown in talks that leads potentially to renewed military activity. While seemingly a less likely scenario, this outcome is worth considering simply because it would represent a large shock to the relaxed volatility outlook markets are pricing in. In that scenario, renewed upside in energy prices would see the USD test the upper end of our Q2 ranges (EURUSD 1.1450, AUDUSD 0.70, USDJPY 162). To be clear, we see this as a tail risk rather than our baseline, but it again highlights the asymmetric risk profile towards further USD appreciation.

With markets anticipating a conflict resolution, the risk asymmetry is likely towards escalation

Risk #3: US May employment report

To close the week, markets are looking for an +85K NFP print in May on Friday, with 0.3%mom average earnings growth and a 4.3% unemployment rate (vs +115k / 0.2% mom / 4.3% in Apr) – a touch below our economists' call for a 90K headline and 0.37%mom earnings growth. The run-up to this release has seen mixed US data, with improved reading in May ISM manufacturing (54.0 vs 52.7 in Apr) and Apr JOLTS (7618K vs 6887K in March), but also softer surprises including Apr personal income and spending (0.0%mom and 0.5% mom vs 0.5% and 1.0% in March) and Apr durable goods (0.4%mom non-defence ex air shipments vs 1.3%mom in March). This suggests that numbers in line with expectations, or stronger, could tilt the balance of opinions further in a positive direction and do little to undermine current pricing for possible Fed rate hikes (+18bp by year-end, +25bp by the 17 Mar 2027 meeting).

We suspect a clear negative surprise is likely needed for markets to question current Fed pricing, especially given the hawkish lean of recent comments from officials including Cleveland Fed President Hammack and Kansas City Fed President Schmid. At the same time, with the first FOMC led by Chair Warsh two weeks away, markets may be reluctant to push pricing to hawkish extremes absent a crystal clear case for it from the data, mindful that key elements of the current Fed framework, such as forward guidance, could change under the new leadership. All told, we believe it would take a large surprise in either direction to challenge the current narrative; absent that, the bar for vol to rebound on US data alone seems high.

A US employment report in line with consensus would reaffirm rate support for the USD

A large NFP surprise in either direction is likely needed to challenge the low vol market outlook

GBP: Supported by fundamental flows

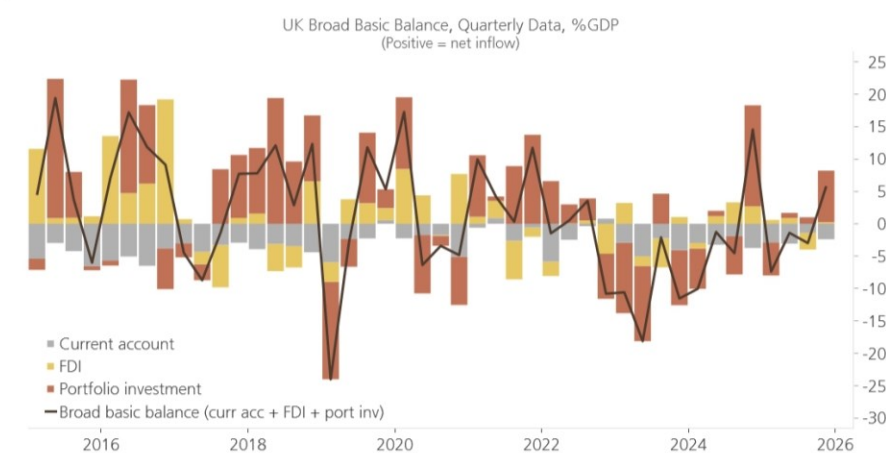
GBP has continued to show resilience in the face of ongoing political developments surrounding the future of Prime Minister Sir Keir Starmer's premiership. Ahead of the local elections last month, [we wrote](#) about how the key source of concern for GBP is ultimately the fiscal outlook, and that a lack of reaction in GBP to the political news flow could arguably be justified so long as the perceived risk of the existing fiscal rules being broken/loosened is sufficiently low. This has largely held true since. As we have covered it in detail in recent weeks ([link](#), [link](#), [link](#)), we leave the politics to one side in this article and instead look into the fundamental flow backdrop for GBP, arguing that it continues to provide fundamental support for sterling behind the noise. We target EURGBP 0.8750 for end-Q2, the upper end of the YTD range, followed by gradual GBP appreciation to 0.8500 by year-end.

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GBP has continued to show resilience despite ongoing political noise

Figure 6: UK broad basic balance supported by portfolio inflows

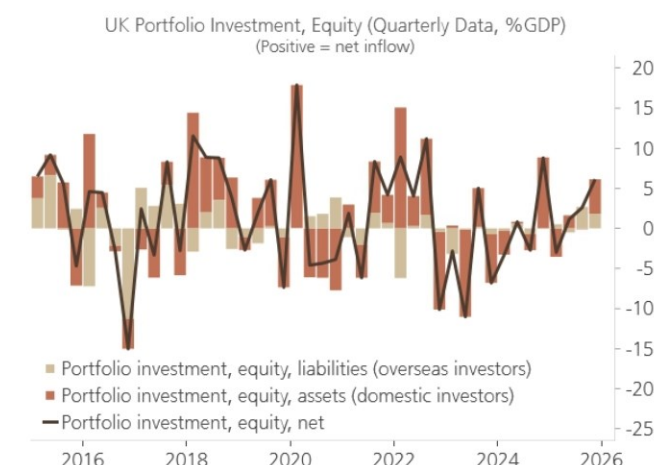


Source: Macrobond, UBS

We came into the year constructive on GBP, with the benign balance of payments backdrop being a key part of our rationale. Data for Q4 (released end-Q1) showed continued strength in portfolio investment ([Figure 6](#)), marking the third consecutive quarter of net portfolio inflows. In Q4 on aggregate, domestic investors repatriated into domestic equities and reduced purchases of overseas debt, while overseas investors continued to buy both domestic equities and debt ([Figure 7](#), [Figure 8](#)). These flows were clearly supportive for GBP last year and, given relatively rangebound and resilient price action in sterling so far in 2026, we would not be surprised if BoP data for Q1 and Q2 show a similar backdrop when released.

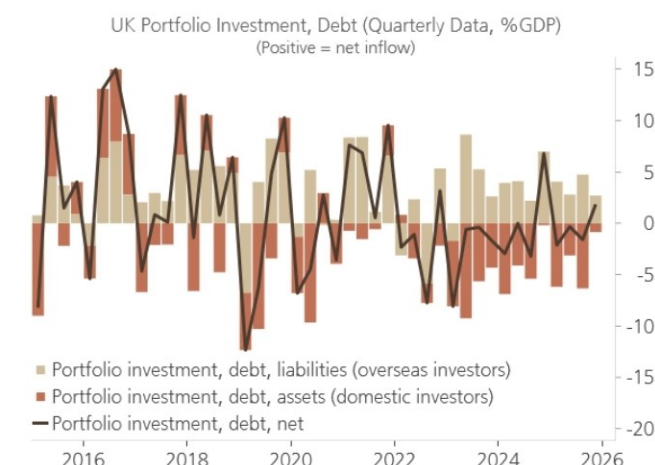
The UK's broad basic balance has been improving, supported by portfolio inflows

Figure 7: UK equity portfolio investment



Source: Macrobond, UBS

Figure 8: UK debt portfolio investment



Source: Macrobond, UBS

In addition to official BoP data, which are released with a one quarter delay (Q1 data will be released on 30 June), we also track more timely M&A activity. We take M&A announcements from Bloomberg's M&A database (MA <GO>) for closed and pending cross-border deals, applying a minimum deal threshold of USD50mn and only including transactions with a cash component. As shown in [Figure 9](#), announcements of inbound M&A activity, i.e., overseas firms investing in or taking over British firms, has been very strong recently (the last data point is May 2026). Recent [Bloomberg reporting](#) suggests that 2026 has been the strongest year (at this point in the year) for inbound M&A in the UK since 2015, with overseas firms attracted by UK businesses with high-quality earnings, international exposures and discounted valuations.

Figure 9: Inbound M&A announcements have been very strong recently



Source: Bloomberg, UBS

M&A announcements should show up in official BoP data as direct investment (FDI) in the financial account down the line, though we note that FDI also includes other components such as reinvested earnings and inter-company lending. The lead time between announcement and completion can also be highly variable. As such, rather than treating M&A announcements as a leading indicator of FDI flows, we see it as an indicator that signals the relative attractiveness of an economy's business environment. Strong inbound M&A announcements YTD combined with robust portfolio inflows through 2025 support our view that GBP is fundamentally supported by a benign flow backdrop, adding to the reasons behind GBP's resilience of late despite volatile news flow around political risks.

We target EURGBP 0.8750 for end-Q2, the upper end of the YTD range, capturing the risk of the fiscal narrative changing as we make our way through the run-up and aftermath of the Makerfield by-election on 18 Jun in which Manchester Mayor Andy Burnham is seeking a return to Westminster to challenge Prime Minister Starmer's leadership. Beyond that, we continue to target EURGBP 0.8500 for year-end as political noise fades later in the year and the positive flow backdrop that we highlight above can drive gradual GBP appreciation. We note that this constructive view on sterling is conditional on the broad risk environment remaining supportive; a shift to a risk-off/high-vol environment would likely put GBP on the backfoot.

As an extension of this final point, a key factor behind sterling's high beta to risk was flagged in BoE MPC member Catherine Mann's recent speech on 13 May – [Old exposures, new actors: Implications for monetary policy of the UK's External Imbalances](#). For detailed analysis on trends in the UK's balance of payments, we strongly recommend giving it a read. From an FX perspective, our key takeaway is Mann's observation that the UK's net international investment position (NIIP) has benefitted significantly from valuation effects as the UK's holdings of overseas assets have appreciated by more than the value of the UK's liabilities over time. As a result, the UK's NIIP is unchanged since the late 1990s at ~6.5% of GDP despite persistent current account deficits. We see this as an important driver of GBP's high risk-beta, as the UK's external position deteriorates in times of risk-off as overseas assets lose value, and improves in time of risk-on as these assets gain value.

We also track M&A announcements, which have been very strong for the UK recently

We see M&A announcements as a signal of the attractiveness of an economy's business environment

We target EURGBP 0.8750 for end-Q2, followed by gradual GBP strength to EURGBP 0.8500 by year-end

The constructive GBP view is conditional on the broad risk environment remaining supportive

FX trade recommendations & forecasts

Figure 10: Open and closed trade recommendations (trades executed once weekly, the day before publication)

FX Trade Monitor							
Trade Ideas							
	P&L Units	Entry Date	Entry level	Current level	Expiry date / Stop loss	P&L (incl. carry)	Link to Publication
Long 6m GBPUSD 1.40 digital call	% notional	08-Jan-26	0.19%	0.02%	08-Jul-26	-0.17%	Thematic trades to start 2026
Long 6m AUDNZD 1.12 digital put	% notional	08-Jan-26	0.17%	0.00%	08-Jul-26	-0.17%	Thematic trades to start 2026
Long 9m USDJPY 175 one touch	% notional	01-Apr-26	0.19%	0.11%	29-Dec-26	-0.08%	FX Compass: Mideast conflict scenarios
Sell EURNOK rallies to 11.95	% notional	n/a	n/a	n/a	n/a	0.00%	Thematic trades to start 2026
Closed trades							
	P&L Units	Entry Date	Entry level	Exit level	Close Date	P&L (incl. carry)	Link to Publication
Long 6m USDCAD volatility swap	% notional	04-Nov-25	4.92%	4.76%	04-May-26	-0.16%	FX Compass: Going corporate
Long 6m USDJPY 154.30 call 162.10 RKO	% notional	08-Jan-26	0.24%	0.70%	28-Apr-26	0.46%	Thematic trades to start 2026
Long 6m dual digital GBPUSD ≥ 1.32, EURUSD ≤ 1.17	% notional	08-Jan-26	0.19%	0.21%	31-Mar-26	0.02%	Thematic trades to start 2026
Short EURSEK	% notional	03-Mar-26	10.75	10.75	12-Mar-26	0.00%	FX Compass: Volatility roars back
Long 6m EURAUD 1.74 put EKO 1.65	% notional	10-Nov-25	0.50%	1.50%	04-Mar-26	1.00%	Global Economics & Markets Outlook 2026-27

Source: Bloomberg, UBS. This table is a record of current trade recommendations from the most recently published research reports available on NEO.

Figure 11: UBS FX Forecasts

Last forecast update: 12 May 2026

	Spot	Q2-2026	Q3-2026	Q4-2026	End-2027
DXY	99.2	99.7	99.4	100.5	100.5
EURUSD	1.164	1.16	1.16	1.14	1.14
USDJPY	159.9	162	160	160	160
EURJPY	186.1	188	186	182	182
EURCHF	0.916	0.91	0.91	0.90	0.88
USDCHF	0.787	0.78	0.78	0.79	0.77
EURGBP	0.864	0.875	0.860	0.850	0.850
GBPUSD	1.347	1.33	1.35	1.34	1.34
USDCAD	1.384	1.38	1.39	1.40	1.40
AUDUSD	0.718	0.72	0.73	0.74	0.74
NZDUSD	0.593	0.59	0.60	0.62	0.62
AUDNZD	1.211	1.22	1.21	1.20	1.19
EURSEK	10.83	10.85	10.70	10.50	10.50
EURNOK	10.80	10.75	10.95	11.20	11.20
EURAUD	1.62	1.61	1.59	1.54	1.54

Source: Bloomberg, UBS estimates

We would like to thank Chetna Malik, our research support service professional, for her help in the preparation of this research report.

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